



Figure 42.3 A more rounded-appearing complex head-and-shoulders top. Left shoulder 1 and right shoulder 1 could be considered part of a large head-and-shoulders top. The inner head-and-shoulders looks like a rounding top.

In a regular head-and-shoulders pattern, one shoulder may be higher in price than the other or one shoulder will be farther away from the head—a rather extended shoulder. That is usually not the case with the complex variety. Symmetry is a key identification element for a complex top.

Moving to the outer shoulders, they also are equidistant from the head and are very nearly at the same price level as well. Continuing the symmetry example, the two peaks labeled left shoulder 1 and right shoulder 1 appear to be shoulders of the same pattern, although farther away than the inner grouping.

Volume. If you could zoom in on the volume pattern, you would see it is marginally heavier on the left side of the pattern than on the right, at least for the pattern bounded by the inner (higher) neckline. High volume on the left side of the pattern as compared to the right is typical for complex tops and occurs about two-thirds of the time.